Dublin — Financial Projections, P&L and Lease-Coverage Analysis

Precision Developers — Dublin • 6400 Sierra Ct, Dublin, CA 94568 • Prepared October 2026 • Draft for owner review

> **Status of this document.** Revenue, cost and build-out figures are management **estimates**, not contractor bids or audited comparables. Lease inputs given: 96,000 SF, base rent $1.25 + NNN $0.29 = $1.54/SF/month, 10-year term plus a 10-year option, no bank financing. Items marked "assumption" (escalator, free rent, deposit, build-out cost, ramp-up) are not yet agreed. Proof of funds is provided separately as bank/lender documentation.

1. Executive summary

$147,840	$20,337,839	$20,811,376	1.56x
All-in monthly rent ($1,774,080/yr)	10-year base-term rent (with 3% escalator)	Equity funding plan (no bank debt)	Year-3 rent coverage (EBITDAR / rent)

- **Program:** indoor cricket and baseball cages; eight pickleball courts with an elevated viewing lounge; strength & conditioning; a premium spa and recovery center (saunas, steam rooms, recovery and treatment rooms); a **Founders Club** of private and semi-private lounges and meeting rooms for entrepreneurs and investors; a non-alcoholic, non-tobacco patio; valet; and a luxury Indian fusion restaurant. No alcohol service.
- **Stabilized scale:** about $10,685,900 of revenue by Year 3 (about $111/SF), with rent at 17.6% of revenue.
- **Funding approach:** the build-out, pre-opening rent, deposit and the modeled ramp-up cash need are funded in full from equity *before* opening. The business does not depend on operating cash flow to pay rent during ramp-up.
- **Ramp-up:** revenue builds over 24–30 months. Years 1–2 are modeled at a loss; positive EBITDA begins in Year 3 in the base case.

2. Space program (96,000 SF)

Area	SF	Share
Cricket & Baseball Academy	18,000	19%
Pickleball (8 courts + elevated viewing lounge)	22,000	23%
Strength & Conditioning	10,000	10%
Spa & Recovery (saunas, steam, recovery rooms, treatment)	12,000	12%
Founders Club (investor & entrepreneur lounges, meeting rooms)	10,000	10%
Indian Fusion Restaurant + Private Dining	9,000	9%
Lobby / Cafe / Lockers / Restrooms / Valet / BOH	15,000	16%
Total	**96,000**	**100%**

3. Revenue build (stabilized, Year 3, today's dollars)

Line	Stabilized (Year 3) driver — estimate
Pickleball (8 courts)	42% utilization of ~824 bookable court-hrs/wk at $50 blended; 260 members @ $79/mo; $190k leagues/lessons
Cricket & baseball (12 lanes)	33% utilization of ~1,080 lane-hrs/wk at $50; academy 140 students @ $230/mo; $230k leagues/camps/team blocks
Fitness & strength	550 members @ $99/mo; $300k personal/small-group training and corporate fitness
Spa & recovery	300 add-on members @ $89/mo; 14 day passes/day @ $45; 14 treatments/day @ $115; $120k corporate wellness
Founders Club	100 Founder members @ $350/mo; 220 Associate @ $125/mo; $300k meeting-room rentals; $400k curated events (sponsor-backed); $120k day passes
Restaurant (no alcohol)	115 covers/day @ $44 average check, 355 days; $250k private dining and catering
Youth programs	5 parties/week @ $450; 8 camp-weeks × 60 kids @ $380
Cafe & juice bar (non-alcoholic)	150 tickets/day @ $8.50
Events & tournaments	$450k (tournaments, leagues finals, corporate buy-outs)
Sponsorship & retail	$260k (naming/court sponsors, pro shop)

Pricing, utilization and membership counts above are estimates and are being validated against local operator comparables.

4. Sources & uses of funds (all equity)

Uses of funds	Amount
Base conversion: HVAC, power, sprinklers/alarm, egress, ADA, acoustics ($55/SF)	$5,280,000
Restaurant kitchen, hood, private dining, FF&E (9,000 SF)	$1,800,000
Pickleball: 8 courts, LED, acoustic panels, elevated viewing lounge	$1,200,000
Cricket & baseball: netting rigs, turf, 12 machines, ball return, tracking	$720,000
Strength & conditioning equipment and flooring (10,000 SF)	$550,000
Spa & recovery: saunas, steam rooms, cold plunge, treatment/recovery rooms, wet rooms (12,000 SF)	$1,500,000
Founders Club: lounges, meeting rooms, pitch room, podcast studio, AV, security (10,000 SF)	$1,400,000
Lobby, cafe, lockers, signage, non-alcoholic patio, valet staging	$700,000
Soft costs: A&E, CUP, traffic/noise/enviro studies, permits (9%)	$1,183,500
Contingency (10% of hard costs)	$1,315,000
Pre-opening: hiring, training, marketing, soft-open losses	$700,000
Total build-out and soft costs	**$16,348,500**
Pre-opening rent (9 months pre-opening less 3 months abated — assumption)	$887,040
Security deposit (2 months — assumption)	$295,680
Ramp-up operating reserve (modeled cash trough after opening)	$2,836,636
Additional liquidity buffer (3 months rent)	$443,520
TOTAL EQUITY REQUIRED (no bank debt)	**$20,811,376**

5. Five-year income statement — base case

Income statement	Year 1	Year 2	Year 3	Year 4	Year 5
Pickleball	$624,569	$1,145,983	$1,417,668	$1,460,198	$1,504,004
Cricket & Baseball	$721,203	$1,323,291	$1,637,011	$1,686,121	$1,736,705
Fitness & Strength	$445,611	$817,623	$1,011,462	$1,041,806	$1,073,060
Spa & Recovery	$500,356	$951,912	$1,289,598	$1,337,935	$1,378,073
Founders Club	$552,207	$1,104,089	$1,608,178	$1,715,581	$1,767,049
Restaurant	$956,423	$1,754,880	$2,170,920	$2,236,047	$2,303,129
Youth Programs	$139,937	$256,762	$317,633	$327,162	$336,977
Cafe & Juice Bar	$211,553	$388,165	$480,190	$494,596	$509,433
Events & Tournaments	$210,326	$385,914	$477,405	$491,727	$506,479
Sponsorship & Retail	$121,522	$222,973	$275,834	$284,109	$292,632
TOTAL REVENUE	**$4,483,707**	**$8,351,592**	**$10,685,900**	**$11,075,283**	**$11,407,542**
Cost of goods sold	($453,868)	($836,835)	($1,048,670)	($1,081,288)	($1,113,726)
Labor (incl. payroll burden)	($2,669,911)	($3,718,652)	($4,260,289)	($4,398,347)	($4,530,297)
Card processing	($125,544)	($233,845)	($299,205)	($310,108)	($319,411)
Rent + NNN (all-in $1.54/SF, 3% escalator)	($1,774,080)	($1,827,302)	($1,882,121)	($1,938,585)	($1,996,743)
Utilities	($408,000)	($420,240)	($432,847)	($445,833)	($459,208)
Insurance	($350,000)	($360,500)	($371,315)	($382,454)	($393,928)
Valet, security & technology	($300,000)	($309,000)	($318,270)	($327,818)	($337,653)
G&A, professional, licensing	($300,000)	($309,000)	($318,270)	($327,818)	($337,653)
Repairs & maintenance	($134,511)	($250,548)	($320,577)	($332,258)	($342,226)
Marketing	($224,185)	($292,306)	($374,006)	($387,635)	($399,264)
EBITDA	**($2,256,392)**	**($206,635)**	**$1,060,328**	**$1,143,139**	**$1,177,433**
EBITDA margin	-50.3%	-2.5%	9.9%	10.3%	10.3%
EBITDAR (EBITDA + rent)	**($482,312)**	**$1,620,667**	**$2,942,450**	**$3,081,724**	**$3,174,175**
RENT COVERAGE (EBITDAR / rent)	**-0.27x**	**0.89x**	**1.56x**	**1.59x**	**1.59x**
Rent as % of revenue	39.6%	21.9%	17.6%	17.5%	17.5%
Equipment replacement reserve (2%)	($89,674)	($167,032)	($213,718)	($221,506)	($228,151)
FREE CASH FLOW	**($2,346,066)**	**($373,667)**	**$846,610**	**$921,633**	**$949,282**

Revenue ramps from 30% of stabilized (Founders Club 20%, Spa 25%) in month 1 to 100% by month 24–30, then grows 3%/yr. Costs inflate 3%/yr. Taxes, owner distributions and financing costs are excluded; there is no bank debt.

6. Lease coverage & stress tests

Scenario	Y3 revenue	Y3 EBITDA	Y3 rent coverage	Post-opening cash trough	Total equity needed	Y5 cash yield on equity
Base case	$10,685,900	$1,060,328	1.56x	$2,836,636	$20,811,376	4.6%
Downside (revenue −20%)	$8,548,720	($227,507)	0.88x	$7,434,713	$25,409,453	-1.5%
Upside (revenue +15%)	$12,288,785	$2,026,205	2.08x	$2,126,341	$20,101,081	9.7%
Base + landlord concessions (TI $20/SF, 6 mo free rent)	$10,685,900	$1,060,328	1.56x	$2,836,636	$18,447,856	5.1%

How to read this. In the base case rent coverage reaches 1.56x by Year 3. A 20% revenue shortfall would push coverage below 1.0x, which is why the plan is capitalized with a funded reserve rather than relying on early operating profit. The downside case shows the additional equity that would be required to carry the lease through that scenario.

Which program areas earn their space (stabilized, after allocated rent and utilities)

Program area	SF	Stabilized revenue	Revenue / SF	Contribution	Allocated rent + utilities	Net
Cricket & Baseball	18,000	$1,543,040	$86	$774,853	$484,907	$289,947
Pickleball	22,000	$1,336,288	$61	$671,031	$592,664	$78,367
Fitness & Strength	10,000	$953,400	$95	$478,760	$269,393	$209,367
Spa & Recovery	12,000	$1,224,400	$102	$433,193	$323,271	$109,922
Founders Club	10,000	$1,570,000	$157	$788,392	$269,393	$518,999
Restaurant	9,000	$2,046,300	$227	$431,360	$242,453	$188,907

7. Startup-risk mitigants offered to the owner

- **Funded before opening:** build-out, pre-opening rent, deposit and ramp-up reserve are committed equity (proof of funds attached separately).
- **Security:** willingness to discuss an increased deposit, a letter of credit, or a limited guarantee in exchange for the concessions below.
- **Requested structure:** rent commencement tied to issuance of the Conditional Use Permit; a tenant-improvement allowance and a free-rent period during build-out (modeled case: $20/SF TI and 6 months free rent); and an expansion/phasing option if the owner prefers to deliver space in stages.
- **Operating plan:** staged opening of revenue areas, membership pre-sales and corporate Founders Club charter memberships before opening to de-risk Year 1.
- **Use fit:** membership, recurring-revenue and event-driven income streams diversify away from any single sport or daypart.

8. Key assumptions still to be validated

Assumption	Status
Build-out cost ($55/SF conversion + equipment; total $16,348,500)	Estimate — needs contractor bid; could be lower if the shell is already office/HVAC-ready
Rent escalator 3%/yr, 3 months free rent, 2-month deposit, no TI	Placeholders — replace with negotiated lease terms
Pricing, utilization, membership counts	Estimates — validate against local operator comparables
Founders Club membership (100 Founder / 220 Associate) and event sponsorship	Estimate — support with a pre-sale / letter-of-intent pipeline
Conditional Use Permit, parking, noise and traffic studies	Pending City review; 2016 site plan shows limited surplus parking, so a parking/valet plan is required
Suites comprising the 96,000 SF	To confirm; the 2016 drawings show a 59,374 SF warehouse plus 19,374 SF second floor for one suite

Appendix A — 10-year rent schedule and projected coverage (base case)

Lease year	Avg. monthly rent + NNN	Annual rent + NNN	Projected revenue	Projected EBITDAR	Rent coverage
Year 1	$147,840	$1,774,080	$4,483,707	($482,312)	-0.27x
Year 2	$152,275	$1,827,302	$8,351,592	$1,620,667	0.89x
Year 3	$156,843	$1,882,121	$10,685,900	$2,942,450	1.56x
Year 4	$161,549	$1,938,585	$11,075,283	$3,081,724	1.59x
Year 5	$166,395	$1,996,743	$11,407,542	$3,174,175	1.59x
Year 6	$171,387	$2,056,645	$11,749,768	$3,269,401	1.59x
Year 7	$176,529	$2,118,344	$12,102,261	$3,367,483	1.59x
Year 8	$181,825	$2,181,895	$12,465,329	$3,468,507	1.59x
Year 9	$187,279	$2,247,351	$12,839,289	$3,572,562	1.59x
Year 10	$192,898	$2,314,772	$13,224,467	$3,679,739	1.59x
Total, years 1–10		**$20,337,839**	**$108,385,137**	**$27,694,396**	**1.36x**

Years 6–10 continue the base-case growth (3%/yr revenue, 3%/yr cost inflation). The 10-year renewal option is not modeled.

Appendix B — Proof-of-funds checklist (to be supplied by Precision Developers)

Suggested documentation, sized to the equity funding plan of **$20,811,376** plus the owner's required liquidity cushion:

- Most recent 2–3 months of bank/brokerage statements showing available liquid funds, or a bank letter on letterhead confirming balances.
- Written equity commitment letters from each investor (amount, timing, and conditions).
- CPA-prepared personal financial statement or net-worth statement for any guarantor.
- Entity documents: Articles/Operating Agreement and ownership chart for the tenant entity.
- Relevant operator and management biographies; letters of intent for founding members and sponsors.

No funds are represented by this document. All proof-of-funds items must be genuine, current documents from the relevant institutions.

Appendix C — Business statement submitted to the City of Dublin

The facility concept described in Precision Developers' letter to the City of Dublin Planning and Permitting Team is the basis for the financial model above. Programmatic items modeled:

- Indoor cricket and baseball cages
- Multiple pickleball courts with elevated viewing / lounge areas
- Dedicated strength & conditioning training area
- Premium recovery and wellness suites (saunas, steam rooms, recovery rooms)
- Private and semi-private meeting and social lounges for entrepreneurs and business networking
- Outdoor patio designated non-alcoholic and non-tobacco
- Valet parking and drop-off
- High-end Indian fusion restaurant

Community commitments in the letter — youth sports clinics, wellness workshops, public open hours, quiet hours, acoustic design, ADA compliance and a traffic management plan — are reflected in the youth-program revenue line and in the build-out budget (acoustics, ADA, traffic/noise studies).